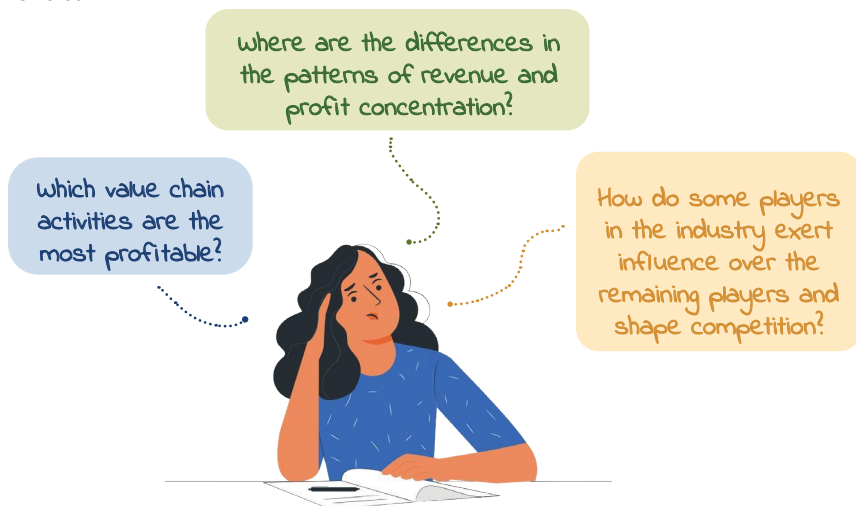


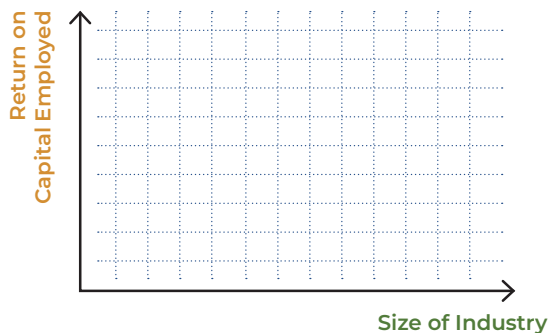
Profit Pool

Once the activities, support companies, and constituents of the industry are understood, it is important to identify where and how money is being made in the industry. Some questions need to be answered.



The answers to these questions are found in an important analytical tool called 'profit pool'. It is a method conceived by Orit Gadiesh and James L. Gilbert, consultants at Bain & Co.

A profit pool is an analytical tool that compares profitability and size in terms of revenue, for each of the value chain activities in the industry.



It is a visual representation, wherein the x-axis constitutes the size of the activity, in terms of revenue, and the y axis constitutes the ROCE.